



BUSINESS ANALYSIS REPORT

UOL STUDENT NUMBER: 240672870

MODULE: BUSINESS ANALYTCS, APPLIED MODELLING AND PREDICTION

WORD COUNT: 1469 (Excluding: Executive Summary, Table of Contents & Appendix)

Table of Contents

Analysis *5*

2. Market Analysis *5*

2.1 Market-Level Sales and Profit **5**

2.3 Profit by Region **6**

..... **6**

3.1 Top 10 States by Sales with Profit Comparison **8**

3.2 Category Performance within the US **8**

4. Categorial Analysis *11*

4.1 Category-Level Performance **11**

4.3 Sales Trend Over Time **12**

5. Shipping Analysis *14*

5.1 Average Shipping Cost by Order Priority **14**

6. Customer Analysis *16*

6.1 Revenue Contribution by Segment **16**

6.3 Average Sales per Customer **17**

7. Strategic Recommendations *18*

Conclusion *19*

Executive Summary

This report presents a structured business analysis of the company's global retail performance with the use of Tableau dashboards. The aim was to identify meaningful trends across markets, products, operations and customer behaviour in order to provide actionable insights to senior management.

The findings show that APAC is the strongest contributor to profit, while EMEA demonstrates weaker performance relative to its revenue. Within the United States, state-level differences are significant, with California leading in both sales and profit and Texas generating the largest loss among high-volume states. From a category perspective, Technology clearly produces profitability, whereas certain Furniture sub-categories underperform. Shipping analysis reveals rising logistics costs and a notable proportion of delayed deliveries. Customer analysis shows that even though the Consumer segment dominates revenue contribution, new customer growth has slowed in recent years.

Overall, the business is profitable and growing, but margin control, operational efficiency and customer acquisition require closer strategic attention.

Introduction

The dataset used for this analysis represents transactional data from a global retail company selling three primary product categories namely Furniture, Technology and Office Supplies to three customer segments: Consumer, Corporate and Home Office. The data spans the period 2018 to 2023 and covers operations across 147 countries and seven major markets (Africa, APAC, Canada, EMEA, EU, LATAM and the United States). Each record reflects a unique order and consists of information on sales, profit, discounts, shipping cost, order priority and shipping modes. Products are shipped using four different shipping modes and multiple priority levels, allowing both revenue performance and operational efficiency to be evaluated. The granularity of the dataset enables analysis at global, regional, state and sub-category levels.

Rather than simply describing performance metrics, the objective was to interpret the data in a way that supports managerial decision-making. The dashboards were structured to examine market performance, country-level trends, product profitability, operational efficiency and customer dynamics.

Each section below references specific visualisations developed in the Tableau story and interprets their commercial implications.

Analysis

2. Market Analysis

2.1 Market-Level Sales and Profit

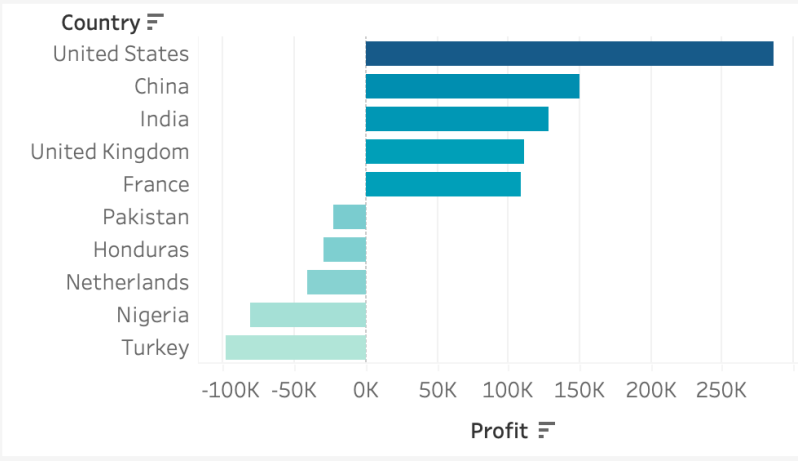
	Market						
	Africa	APAC	Canada	EMEA	EU	LATAM	US
Profit	88,674	436,586	17,817	43,914	372,030	221,120	286,295
Sales	783,192	3,580,581	66,928	804,879	2,935,146	2,162,030	2,296,487

The market-level KPI overview shows that APAC generates the highest total sales (approximately $3.58 million) and the highest total profit (approximately $436,586). This indicates not only strong demand but also relatively effective margin control in this region.

EU also performs strongly in both revenue and profit, reinforcing its importance within the company's global portfolio. In contrast, EMEA produces significantly lower profit relative to its revenue base, suggesting margin pressure in this market.

Canada stands out as an interesting case. Although it records a high profit ratio percentage, its total sales are comparatively small. This suggests strong efficiency but limited scale. From a strategic perspective, this could represent either an underdeveloped opportunity or a niche market.

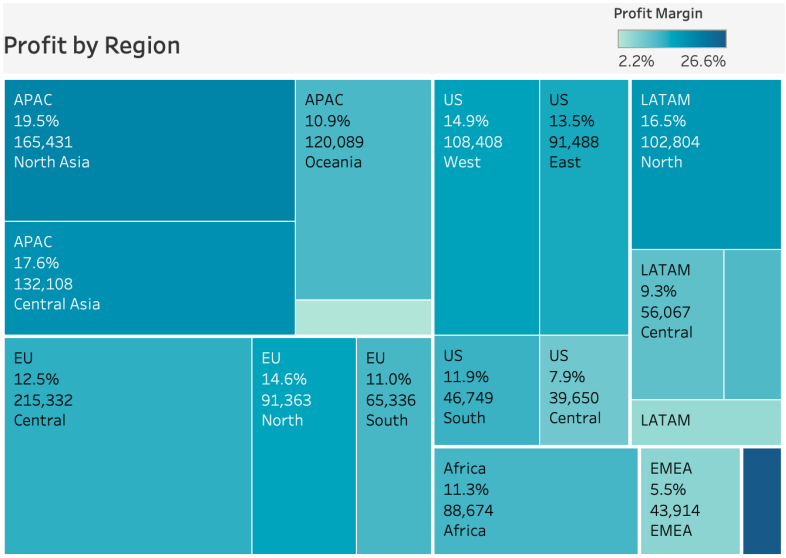
2.2 Top and Bottom Performing Countries



The country-level profit comparison shows that the United States generates the highest absolute profit. However, the bottom five countries reveal that certain markets in the very same country consistently operate at a loss.

This distribution highlights the importance of profitability analysis rather than focusing purely on revenue. High sales volumes in some regions does not necessarily translate into healthy margins always.

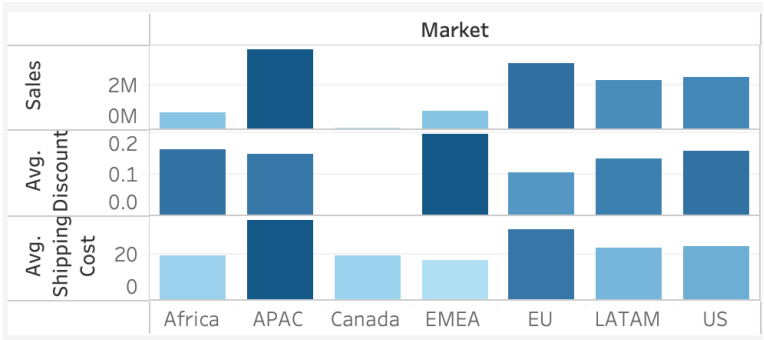
2.3 Profit by Region



The treemap visualisation provides a more granular view of regional profitability. Within the United States, sub-regions such as the West and East perform significantly better than the Central region. Similarly, performance within APAC varies across its sub-regions.

This reinforces the idea that regional strategy should be localised. Broad national strategies may overlook underperforming sub-regions that require dire interventions.

2.4 Discount and Shipping Cost by Market

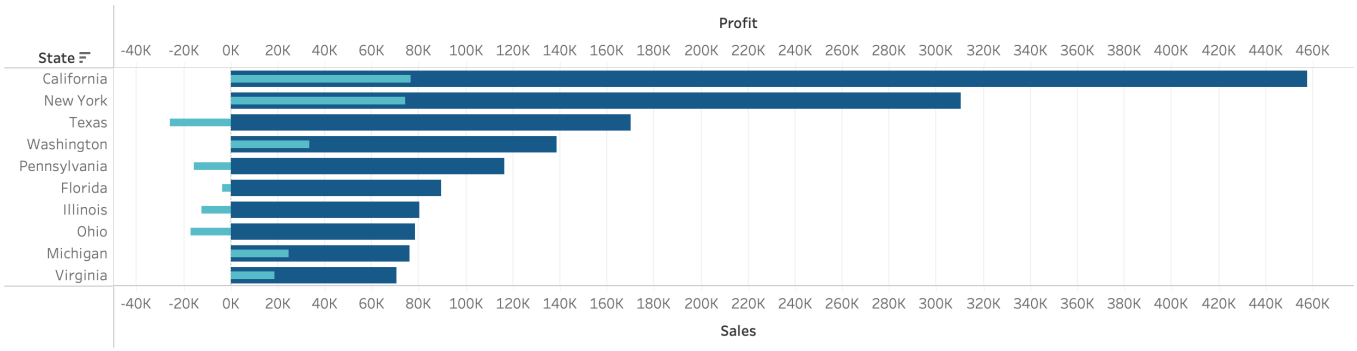


Average discount rates vary meaningfully across markets. Higher discount levels in certain regions may partially explain weaker profit margins.

Shipping cost differences also heavily influence overall profitability. Markets with higher logistics costs may experience margin compression if pricing strategies are devised accordingly.

3. Country Analysis – US Markets

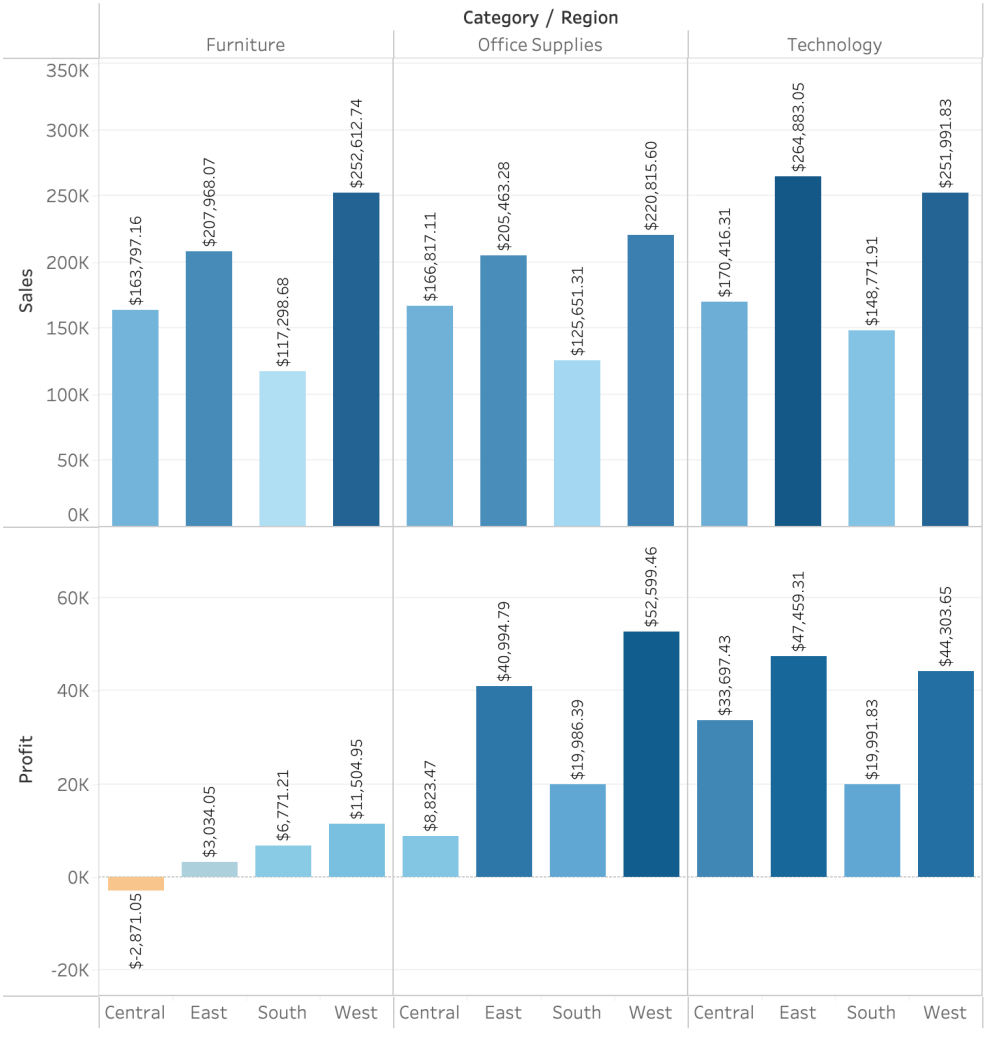
3.1 Top 10 States by Sales with Profit Comparison



California clearly leads in both sales and profit, making it the strongest-performing state. However, Texas presents a contrasting picture: despite high sales, it records the largest **loss**.

This indicates that revenue alone is not a sufficient performance measure, as stated before. Discounting, cost structures or product mix likely contribute to Texas' negative profitability.

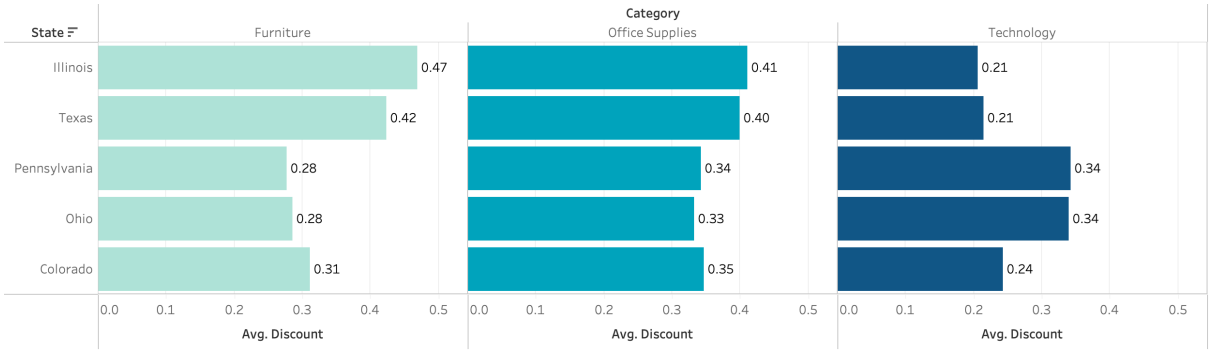
3.2 Category Performance within the US

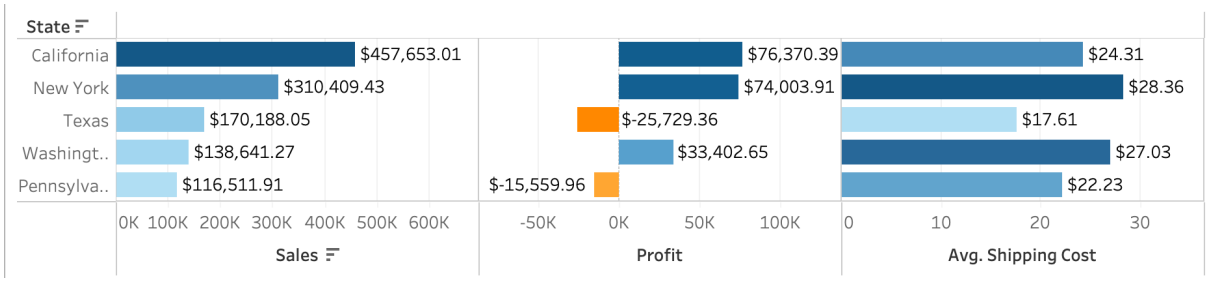


Technology has consistently outperformed Furniture and Office Supplies in profit contribution over the years. While Furniture generates considerable sales, its profit margins is comparatively weaker.

This suggests that product mix plays a critical role in state-level performance. States heavily reliant on lower-margin categories may struggle to maintain profitability.

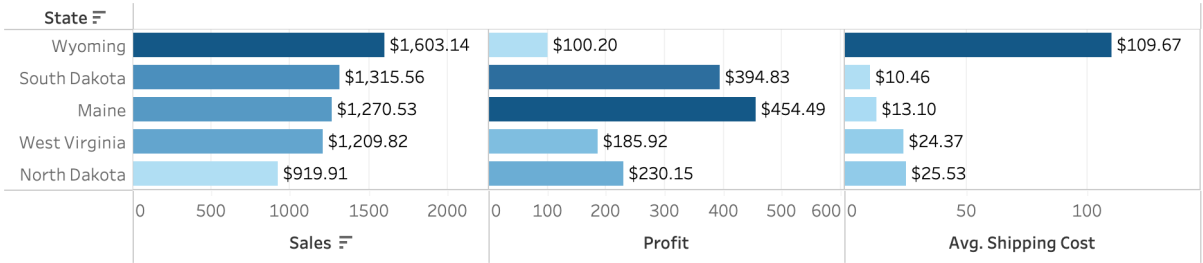
3.3 Discount and Shipping Cost in Top States





Higher average discount levels are observed in certain top-performing states. If not carefully managed, aggressive discounting may undermine long-term profitability.

Shipping costs also vary significantly between states, which may reflect logistical complexity or distribution inefficiencies.



The bottom five states by sales show consistent negative or very low margins despite generating sales revenue. This suggests that the issue is not demand, but profitability maximization. Higher discount levels and relatively higher shipping costs in some of these states may be contributing to sustained losses.

Unlike high-performing states such as California, these regions appear to struggle with margin control rather than revenue generation. If left unaddressed, continued underperformance in these locations could offset gains made in stronger markets.

4. Categorial Analysis

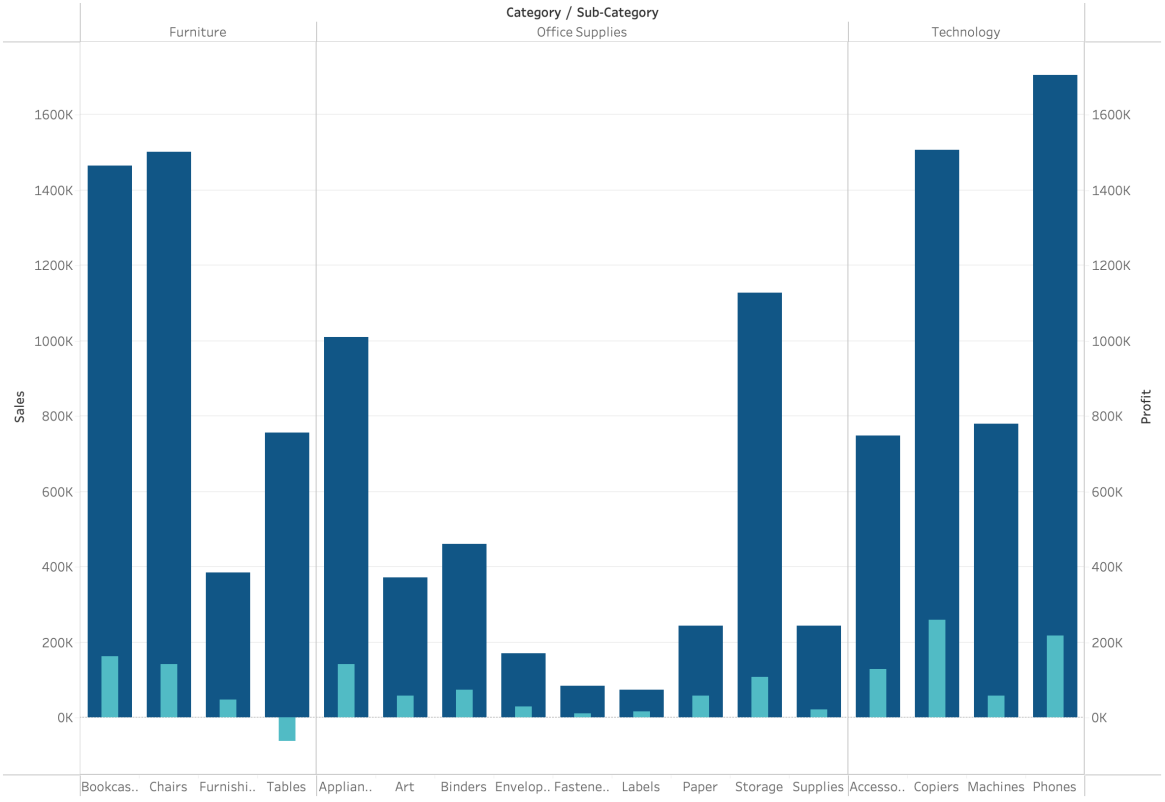
4.1 Category-Level Performance

Category	Profit	Sales	Quantity	Avg. Discount
Technology	$145,452.22	$836,063.10	6,932	0.13
Furniture	$18,439.16	$741,676.66	8,024	0.17
Office Supplies	$122,404.11	$718,747.31	22,894	0.16

Technology is quite obviously the most profitable and fastest-growing category. It generates the largest share of revenue and demonstrates strong year-on-year growth.

Furniture, while generating substantial revenue, contributes comparatively lower profit. This suggests thinner margins or higher cost structures within this category.

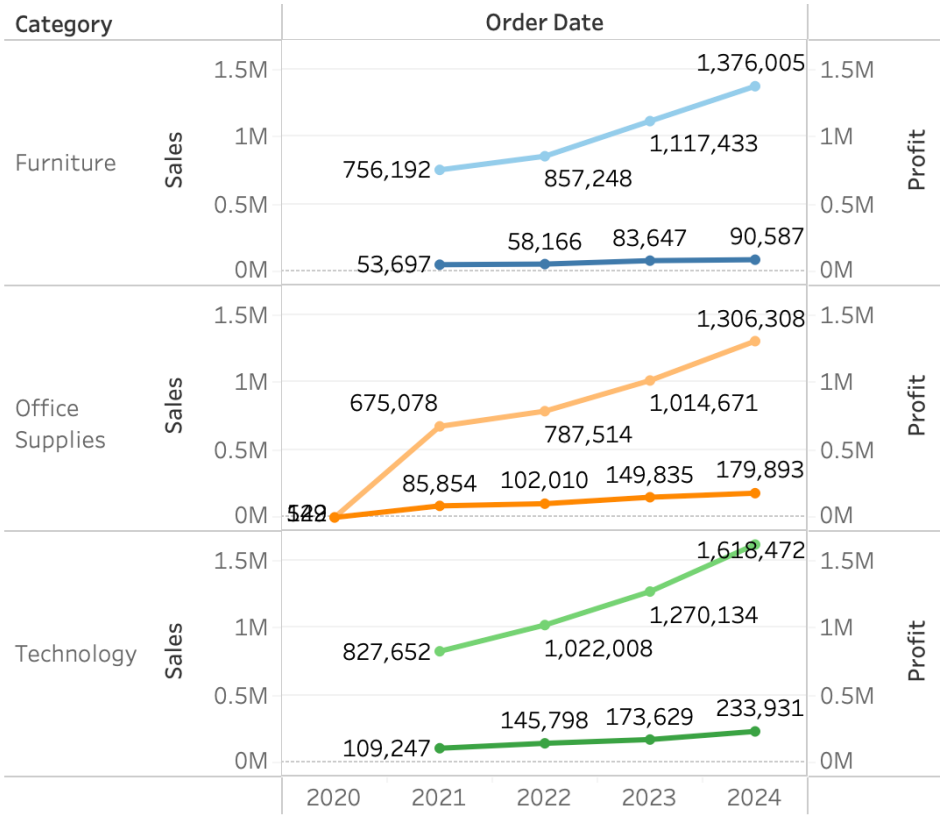
4.2 Sub-Category Performance



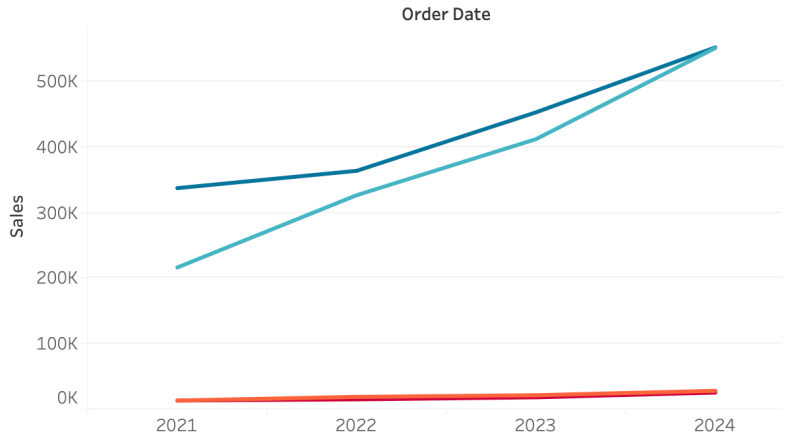
A small number of sub-categories, such as Copiers and Phones, drive a disproportionate share of profit. Meanwhile, sub-categories like Tables demonstrate weak margin performance.

This concentration increases dependency risk of these sub-categories. If high-performing sub-categories experience demand shocks, overall profitability may be affected.

4.3 Sales Trend Over Time



Sales across categories have generally increased over time, particularly within Technology. However, profit growth does not always increase proportionally with sales growth, suggesting rising costs or increased discounting.

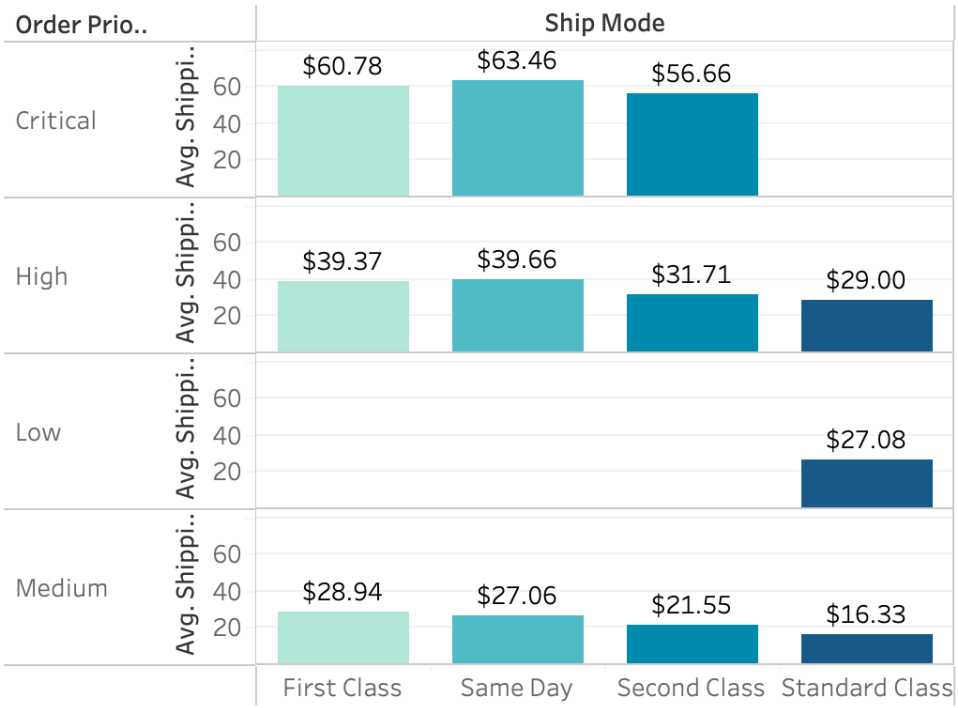


The top-performing sub-categories show consistent and strong growth over the years, with sales increasing steadily from 2021 to 2024. In contrast, the lowest-performing sub-categories

generate minimal revenue and demonstrate significantly slower growth. This highlights a clear concentration of sales within a small number of high-performing products.

5. Shipping Analysis

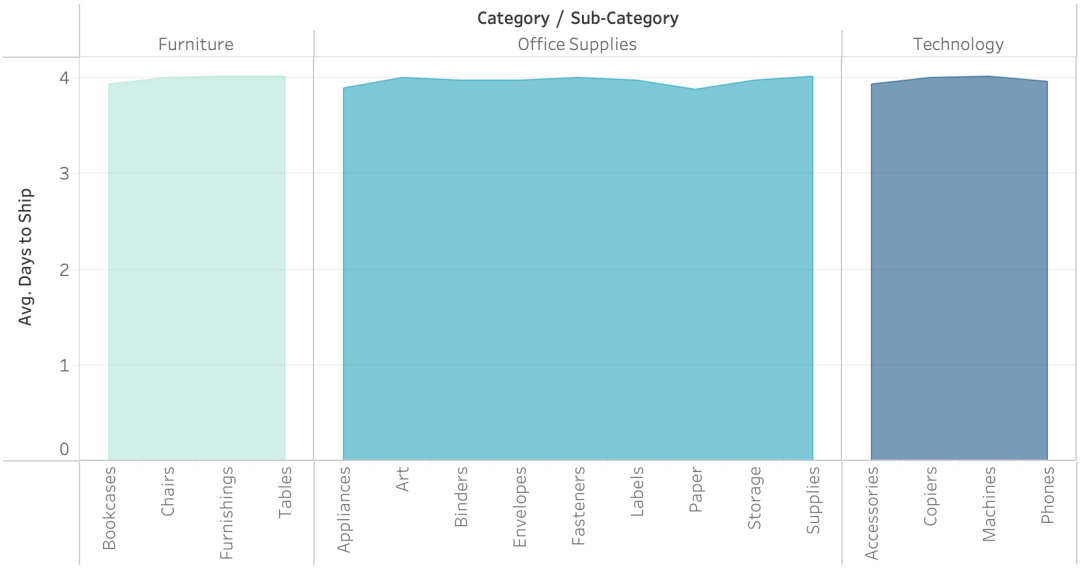
5.1 Average Shipping Cost by Order Priority



Critical-priority shipments incur the highest average shipping cost. While this is operationally expected, the increase in total shipping expenditure over time suggests rising logistics costs due to possible market inflation.

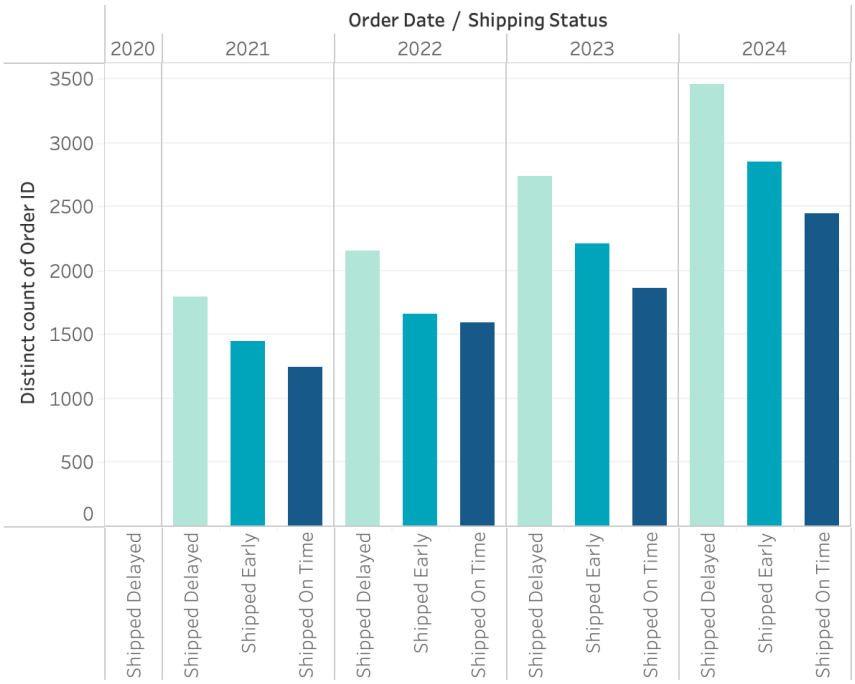
If shipping costs continue to increase without price adjustments, margins may be compressed further.

5.2 Average Days to Ship



The average delivery time remains relatively stable at approximately four days. Although this indicates operational consistency, it does not necessarily represent competitive advantage.

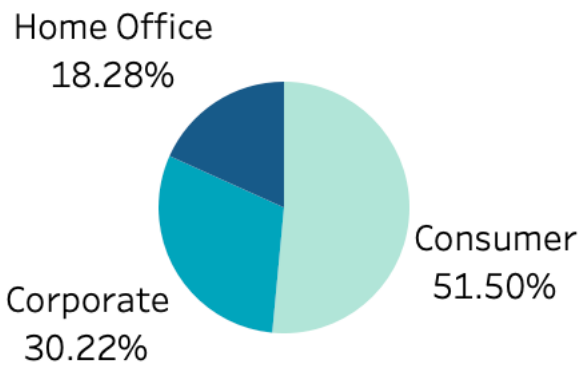
5.3 Shipping Status Distribution



A noticeable proportion of orders are classified as shipped late. Persistent delays may negatively impact customer satisfaction and repeat purchase behaviour. Improving shipping reliability could therefore strengthen both customer retention and brand perception.

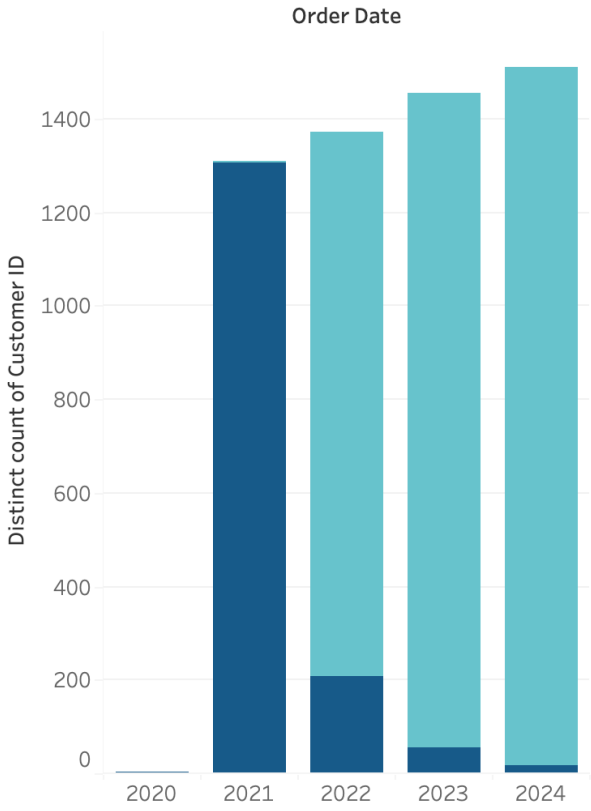
6. Customer Analysis

6.1 Revenue Contribution by Segment



The Consumer segment contributes over half of total revenue, making it the primary growth driver. Corporate and Home Office segments represent smaller but stable revenue streams.

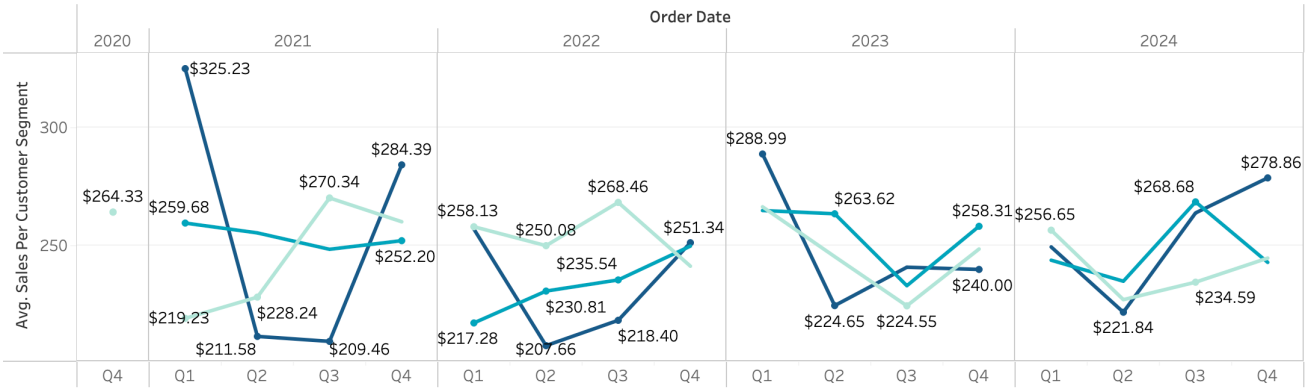
6.2 New vs Existing Customers



While existing customers remain stable, the number of new customers has declined in recent years. This slowdown in acquisition may constrain long-term expansion if not addressed.

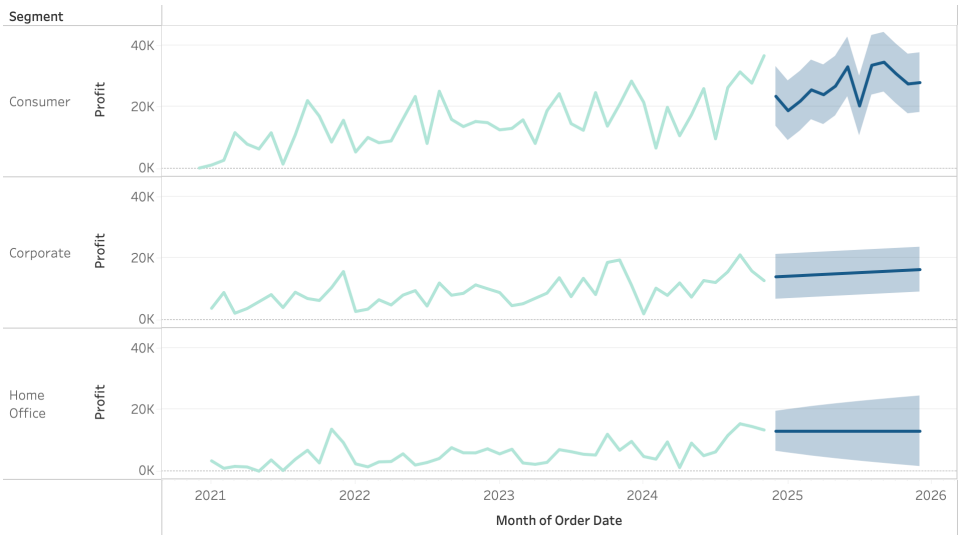
Retention appears healthy, but growth sustainability requires renewed focus on attracting new customers.

6.3 Average Sales per Customer



Average sales per customer remain relatively stable between approximately $200 and $240 per year. This suggests consistent purchasing behaviour across segments as depicted clearly in the quarterly breakdown.

However, growth in revenue appears to be driven more by volume than by increases in individual customer spending.



Profit trends across all segments show overall upward movement over time, with the Consumer segment generating the highest and most volatile profit levels. The forecast suggests continued growth for Consumer and Corporate segments, while Home Office remains relatively stable with minimal projected expansion.

7. Strategic Recommendations

Based on the above analysis, the following actions are recommended:

- **Strengthen discount control in loss-making areas.**
  Excessive discounting in certain states and low-margin sub-categories reduces profitability. Making clearer discount limits and monitoring impact on margin before approvals would help protect profit while maintaining sales performance.

- **Prioritise investment in the Technology category.**
  Technology consistently delivers the highest revenue and profit. Increasing focus Technology products and strengthening marketing efforts in this category would result in continued growth.

- **Improve shipping efficiency and cost control.**
  Rising shipping costs and late deliveries are affecting margins and customer experience. Reviewing logistics processes and negotiating better shipping terms could significantly improve both profitability and reliability of service.

- **Rebuild new customer acquisition efforts.**
  While existing customers remain stable, new customer growth has severely decreased. Well-thought marketing campaigns and structured acquisition strategies are necessary to sustain long-term revenue expansion.

- **Investigate structural inefficiencies in underperforming states.**
  States such as Texas generate strong sales but negative profit. An in-depth review of pricing, discounts and cost allocation is required to restore optimum profitability.

Conclusion

The company demonstrates strong revenue generation and profitability in key markets such as APAC and the United States. However, profitability inconsistencies, rising shipping costs and slowing customer acquisition present areas of concern.

By addressing discount governance, operational efficiency and customer growth strategies, the company can strengthen long-term sustainability and improve overall financial performance. The recommendations stated have been made after due analysis upon constructing the dashboards.